2.10 Methods of Planning

Planning consists of several individual plans depending upon nature and scope it can be classified as follows:

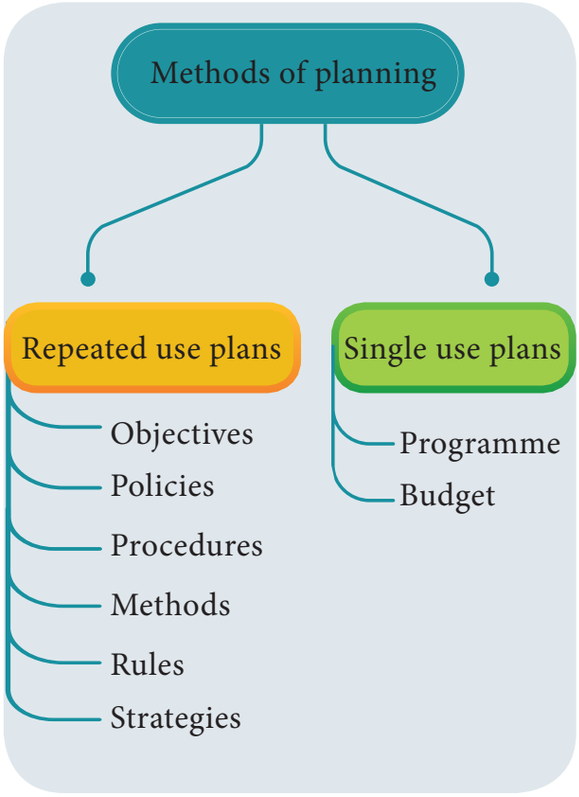


Figure 2.5 Methods of planning

Repeated use plans

These plans can be used again and again. The elements of standing plans are

1. **Objectives:**

   Objectives are the end towards which the activities of an organisation are directed. For planning, objectives are essential. Planning has no meaning if it is not related to objectives. Objectives are useful for all managerial purposes. It is expressed in measurable statement in written form. For example, hire and fully train five new customer service staff members by June 30.

2. **Policies:**

   Policies provide the framework within which the decision makers are expected to operate while making the decisions relating to the organisation. They are the guide for thinking and the action of subordinate for attaining the goal. It shows the limit within which the organisational decisions have to be made. For example, an enterprise may follow a policy of selling its products only on cash basis.

3. **Procedures:**

   A procedure will lay down the manner in which certain work has to be performed. It prescribes the sequence of operations to be carried out to complete a given task. For example, procedure is laid down in an organisation for purchase of raw material, selection of employees, etc.

4. **Methods:**

   Methods specifies the way in which a particular step is to be performed, procedure tells the various steps to be taken to perform a particular task, but method tells how a particular step in the procedure is to be performed. The definition of a method is a system or a way of doing something. An example of a method is a teacher's way of cracking an egg in a cooking class.

5. **Rules:**

   A rule specifies the people to do or not to do certain things. They are always rigidly enforced. For example, no smoking in working place, wear uniform in factory etc,. There is always a fine or penalty for the violation of rules.

6. **Strategies:**

   Strategy is a term which is normally used in battlefield for planning a military movement, handling of troops, etc. In business, strategy means

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